

FUNDING THE GROWTH STRENGTHENING THE POWER SECTOR

PFC was declared as a Navratna PSE on 22.06.2007 by the Government of India, the highest honour and recognition that any PSE aspires for. PFC is now amongst the elite group of 13 PSEs in the country and is one of the youngest PSEs to achieve this Navratna status.

■ VISION

To be the leading institution in financing for sustainable development of Indian power sector and its linkages with an eye on global operations.

■ ENDEAVOUR TOWARDS ACCOMPLISHING VISION

PFC was established with the sole objective of providing necessary funds in time at competitive rates for implementation of power projects vis-à-vis development of various power utilities and overall power sector. During the course of two decades of its journey, PFC had developed extensive power sector knowledge, skills and expertise to provide solutions to various problems faced by power utilities.

■ Product Mix

PFC offers financial assistance through a range of products and services. Term loans, however, continues to be the principal product. Over the years, PFC has been broadening its product range, both, in the power sector and financial

services. While the financial services include both fund-based and non fund-based activities, the portfolio of power sector schemes has been expanded to cover Non-Conventional energy projects.

PFC, through regular interactions with the borrowers, understands their specific requirements and develops suitable products. The new products/ services developed during the recent years which include the following:

- Rupee Term Loans & Foreign Currency Loans/ Bridge Loans/ Short Term Loans
- Reform-Linked Transitional Loans
- Bill Discounting
- Equipment Leasing
- Buyers' Line Of Credit
- Loans To Equipment Manufacturers
- Line of Credit for the Import of Coal
- Debt Refinancing
- Letters Of Comfort
- Non-Fund Based Products Viz, Deferred Payment Guarantees and
- Consultancy and Advisory Services

■ Competitive Cost of Funds and Lending

PFC funds its assets, with market borrowings of various maturities and currencies. The market borrowings include bonds, debentures, term loans, commercial papers and inter-corporate deposits. Given the relationship with Gol, PFC had also been able to mobilise foreign currency loans from agencies such as the World Bank, ADB and KfW. These sources enable PFC to raise long term funds at competitive costs, which supplement the funds available from commercial sources and broaden the maturity profile of debt and enabling PFC to offer to its customers the reasonable lending rates vis-a-vis its competitors

■ Company listed on the Indian Stock Exchanges

Came-out with a Initial Public Offer (IPO) of equity shares of Rs. 10/- each for cash at a premium of Rs. 75/- in Jan-Feb. 2007.

PFC has successfully completed the process of 'Concept to Award' of the three (3), 4,000 MW each Coal based Thermal Power Plant in very objective and transparent manner.